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LAST MAY, WHEN German auto component maker Schaeffler inaugurated its fifth plant in the country at Shoolagiri, Tamil Nadu, it was an important step towards consolidating its long-term India strategy.

The facility expands its manufacturing presence in India and is part of the ongoing investments of €500 million (about ₹5,500 crore) that the company—which makes bearings and other engine and transmission components for automobile and industrial sectors—has earmarked for the next five years.

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Though present in India since 1962 through FAG Bearings, in 2018, the company created a unified identity under the Schaeffler brand to tap into the growing India market.

The bet seems to be paying off. In 2018, Schaeffler had a turnover of about ₹4,500 crore and four manufacturing plants. By 2025, combined revenues had more than doubled to ₹9,395 crore. Profit was ₹1,196 crore, up 185% since 2018. Schaeffler India's market capitalisation has jumped more than 450% over the period to more than ₹63,000 crore. The stock has risen 4% so far this calendar, trading at ₹3,980 a piece on May 18, compared with a 5% decline in the Nifty 500 index.

The company has six manu-

facturing plants now and three research and development (R&D) facilities as it evolves from a component maker to having a strong digital and engineering R&D ecosystem.

The target is to cash in on the burgeoning auto components market here. According to the Automotive Component Manufacturers Association of India, the domestic market has grown at a compound annual growth rate (CAGR) of 14% over the past five years to \$80 billion and is projected to hit \$200 billion by 2030. Likewise, the bearings industry, pegged at \$5.2 billion in 2025, is expected to grow at a CAGR of 9.6% to more than double to \$12 billion by 2034.

Beyond the numbers, there is a larger strategic shift that's underway. The company is moving to newer technology areas, from providing purely mechanical solutions to electronics and mechatronics combined with software. "We're graduating towards a sub-system player and into a system-level player," says Harsha Kadam, Managing Director and CEO of Schaeffler India.

Schaeffler is adopting a lot of developments being powered from India globally. The 1,600-strong R&D team, split across Pune and Bengaluru, is working on cutting-edge research in areas like hydrogen fuel cells, electrolyzers and humanoids, which Kadam says might not find use immediately in India, but can be deployed elsewhere.

INVESTMENT FOCUS

India's strategic importance is reflected in the scale of the invest-



“The strategy was very clear that we need to move up the value chain, and today, that's where we are. I see a huge transformation in the last five to six years, all centred around motion”

HARSHA KADAM
MD & CEO, SCHAEFFLER INDIA

ments. Over the last five years, the company has, on average, invested ₹1,000 crore annually towards ramping up operations. The aim is to increase its manufacturing footprint and localise the product portfolio while meeting the growing demand in India. This year, it will invest ₹400-500 crore.

The plant in Tamil Nadu caters primarily to the auto industry, which accounts for about a third of the company's turnover. It is meant to serve as a hub for production and

WHILE ICE TECHNOLOGY IS BEING PHASED OUT IN EUROPE, DEMAND REMAINS ROBUST IN INDIA. SO, THE COMPANY IS MOVING CERTAIN PRODUCTION LINES FROM EUROPE TO INDIA